

Separate Analysis of Subsidiary Interest Coverage Essential. These examples suggest that just as investors are prone to underestimate the value of a guaranty by a strong company, they sometimes make the opposite mistake and attach undue significance to the fact that a company is controlled by another. From the standpoint of fixed-value investment, nothing of importance may be taken for granted. Hence a subsidiary bond should not be purchased on the basis of the showing of its parent company, unless the latter has assumed direct responsibility for the bond in question. In other cases the exhibit of the subsidiary itself can afford the only basis for the acceptance of its bond issues.⁷

If the above discussion is compared with that in Chap. 13, it will be seen that investors in bonds of a *holding company* must insist upon a consolidated income account, in which the subsidiary interest—whether guaranteed or not—is shown as a prior charge; but that purchasers of unguaranteed *subsidiary* bonds cannot accept such consolidated reports as a measure of their safety, and must require a statement covering the subsidiary alone. These statements may be obtainable only with some difficulty, as was true in the case of United Drug 5s, but they must nevertheless be insisted upon.

⁷ As a practical matter, the financial interest of the parent company in its subsidiary, and other business reasons, may result in its protecting the latter's bonds even though it is not obligated to do so. This would be a valid consideration, however, only in deciding upon a purchase on a *speculative* basis (*i.e.*, carrying a chance of principal profit), but would not justify buying the bond at a full investment price. Concretely stated, it might have made United Drug 5s an excellent speculation at 45, but they were a poor investment at 93.